

Table 1: Spare Capacity and Occupancy Response to Ownership Change: Near-Capacity vs. Slack-Capacity Acquisitions

Outcome	Slack-capacity: post	Difference (Near – Slack)	Near-capacity effect	Observations
Spare capacity	−0.0423*** (0.0057)	0.0238*** (0.0066)	−0.0185*** (0.0048)	117,863
Occupancy rate	4.1610*** (0.5692)	−2.3312*** (0.6562)	1.8298*** (0.4793)	117,863

Notes: Sample restricted to ever-treated (CHOW) facilities, split at the median pre-acquisition spare capacity (average spare capacity over event_time $\in [-12, -4]$, prior to the anticipation window).

Near-capacity = baseline spare capacity ≤ 0.261 (median); Slack-capacity = above. $N = 1443$ treated facilities with a usable baseline (722 near-capacity, 721 slack-capacity).

Controls exclude occupancy rate and spare capacity from each other's control set (they are near-collinear). All models include facility and calendar-month fixed effects; anticipation window excluded.

Standard errors are clustered two ways by facility and calendar month. Statistical significance: *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.